



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Justin Sanders and Shayna Gamble

Of

13 First Avenue

CHELSEA HEIGHTS VIC 3196

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Prepared on:

15th October 2015

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance

15/10/2015

Justin Sanders and Shayna Gamble
13 First Avenue
CHELSEA HEIGHTS VIC 3196

Dear Justin & Shayna,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, and any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Wealth creation strategies
- Superannuation
- Cash flow management
- Tax effective investing
- Retirement Planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Justin and Shayna, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation contribution strategies with the aim of increasing your retirement savings in a tax effective manner.
- Review your existing portfolio both within and outside of superannuation.
- Minimise your tax commitments.
- Direct surplus cash flow to wealth accumulation.
- Focus on wealth accumulation strategies that will help you achieve your capital requirements and lifestyle goals.
- Invest in a tax effective investment portfolio that has a focus on growth over the long term, whilst retaining a reasonable level of capital security.
- Achieve sufficient cash flow to meet your living requirements.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Ms
First Name	Justin	Shayna
Surname	Sanders	Gamble
Gender	M	F
Date of Birth	19/03/1978	25/11/1979
Age Last Birthday	37	35
Marital Status	Married	Married

Health Details

Health Status	Excellent	Excellent
Smoking Status	No	No

Employment Details

Employment Status	Full Time Employee	Full Time Employee
Occupation	OH & S	Paramedic
Employer	Worley Parsons	Ambulance Victoria
Proposed Retirement Age	65	65

Estate Planning

	Justin	Shayna
Do you have a Current Will?	Yes	Yes
Date Last Reviewed	2015	2015
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$400,000
Motor Vehicles	\$30,000
Home Contents	\$80,000
Total Lifestyle Assets	\$510,000

Investment Assets	
Telstra Shares (159 shares @ \$5.63)	\$895
AMP Managed Fund	\$7,425
Bank Account	\$5,000
Offset Account	\$65,000
Total Investment Assets	\$78,320

Superannuation Assets	
<u>Justin</u>	
Colonial First State Employer Superannuation	\$95,824
<u>Shayna</u>	
ESSS	\$82,894
Total Superannuation Assets	\$178,718

Total ASSETS	\$767,038
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LIABILITIES

NAB debt against residential property	\$249,000
Total Liabilities	\$249,000

NET WORTH	\$518,038
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Income and Expenses

The following is a summary of your Income and Expenses that estimates your overall Cash Flow position based on the information provided.

Estimated Tax Liability for Justin

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Salary	\$128,470			
Other Income	\$1,158			
Deductions				
Total Deductions		\$7,533		
TAXABLE INCOME			\$122,095	
Tax Payable before Rebates/Credits				\$33,122
LESS Rebates & Credits				
Private Health Insurance Offset				\$175
Franking Tax Offset				(\$131)
Total Rebates & Credits				\$44
TAX PAYABLE after REBATES & CREDITS				\$33,166
Medicare Levy				\$2,442
NET TAX				\$35,608

Estimated Tax Liability for Shayna

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Salary	\$65,213			
Deductions				
Total Deductions		\$5,863		
TAXABLE INCOME			\$59,350	
Tax Payable before Rebates/Credits				\$10,836
LESS Rebates & Credits				
Low Income Offset				(\$110)
Total Rebates & Credits				(\$110)
TAX PAYABLE after REBATES & CREDITS				\$10,726
Medicare Levy				\$1,187
NET TAX				\$11,913

NB: the above calculations are based on information contained in your 2015 tax returns.

Estimated Cash Flow

Adequate cash flow to meet living expenses is fundamental to achieving your financial objectives. Based on the estimated income from your recommended portfolio, other income and expenses (inclusive of GST) and estimated tax, we estimate your cash flow to be as follows.

	Justin	Shayna	Total
Income			
Income Received	\$129,628	\$65,213	\$194,841
Sub Total	\$129,628	\$65,213	\$194,841
Less Income Tax	\$35,608	\$11,913	\$47,521
Less Total Deductions	\$7,533	\$5,863	\$13,396
Net Income	\$86,487	\$47,437	\$133,924
Less Budgeted Expenditure	\$59,462	\$59,462	\$118,924
Income Surplus	\$27,025	\$-12,025	\$15,000

NB: The 'budgeted expenditure' has been calculated based on a stated current savings capacity of \$1,000 to \$1,500 per month.

Please highlight any discrepancies that you think will have a material effect on your cash flow surplus.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that Justin can be classified as a Growth investor and Shayna can be classified as a Moderately Conservative investor in regard to your investments.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **Growth** investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Property	17%
Fixed Interest	13%
Cash	2%

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would be include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Our recommendation has been made given your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2015-16

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$80,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$80,001 – \$180,000	\$17,547 plus 37c for each \$1 over \$80,000
\$180,001 and over	\$54,547 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase	
			Age 55-59	After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Marginal tax rate (less 15% rebate) + medicare	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free	Tax free
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free	Tax free

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

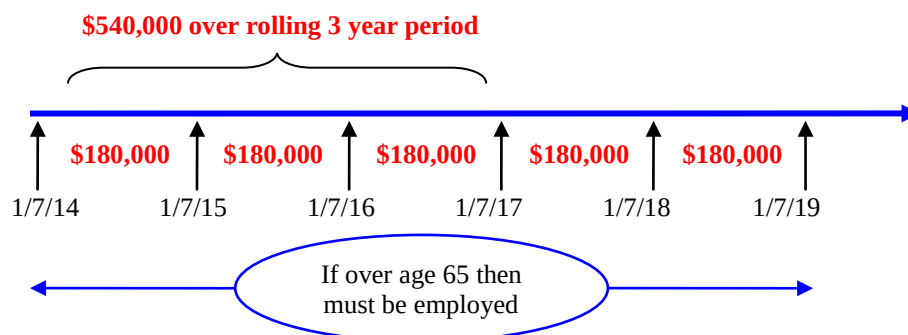
Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed*	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed*	Cannot contribute



Superannuation Funds

Shayna, you are a member of the Emergency Services and State Super fund (ESSS). This superannuation fund is a defined benefit fund, where the benefit is a lump sum based on:

- Your salary
- Period of membership
- Your age
- Contribution rate

The lump sum formula = Final Average Salary x Accrued Benefit Multiple

At present your Accrued Benefit Multiple (Taxed) is:

- 0.899

Your Accrued Benefit Multiple (Untaxed) is:

- 1.03168

Note that the maximum Accrued Benefit Multiple is 7.5 (for a taxed benefit) or 8.4 (for untaxed benefit) which can be achieved after 30 years' service contributing 7% p.a. (i.e. 8.3% p.a. salary sacrificed) to your ESSS fund. What does an Accrued Benefit Multiple of 7.5 mean? This is best explained with an example: if your Accrued Benefit Multiple was 7.5 and your Final Average Salary was **\$80,000** then your superannuation lump sum on retirement would be 7.5 times **\$80,000** = **\$600,000**.

As mentioned above, your contribution rate also affects your Accrued Benefit Multiple and therefore your lump sum amount on retirement. At present your contribution rate is as follows:

- 3.6% p.a. salary sacrificed (3.06% p.a. going into fund)

Justin, you currently have the following superannuation fund:

Colonial First State Employer Superannuation Fund – Account Number 0650 2029 1185

- The fund currently has a withdrawal value of \$95,824.

Note: Your funds are invested as follows:

Investment	Actual Portfolio
Fixed Interest	15.43%
Australian Shares	33.63%
Cash	7.18%
Property	12.94%
International Shares	29.21%
Alternative Assets	1.61%

Recommendations:

Shayna

- While you are a member of the Ambulance Victoria you must contribute and be a member of the ESSS superannuation fund.
- You are currently contributing 3.06% into your fund by salary sacrificing 3.6% of your salary. Therefore, it is recommended to increase your contribution to 7.0% by salary sacrificing 8.3% of your salary.

Benefits:

- Shayna, by increasing your salary sacrifice contribution to 8.3% you will receive an increased benefit from the fund. This equates to approximately **\$242 per fortnight** as opposed to the **\$105 per fortnight** that you are currently salary sacrificing (based on a gross salary of \$75,927).
- Superannuation contributions are concessional tax rates at a maximum of 15% as opposed to marginal tax rates.

Justin

Option 1

- Maintain your current Colonial First State Employer Superannuation Fund.

Benefits:

- There are no significant benefits to maintaining the existing fund.

Option 2

- Rollover your existing Colonial First State Employer Superannuation Fund to the recommended superannuation fund platform.
- The portfolio is to be invested according to a sector specific asset allocation that is in line with your investor risk profile.

Recommendation:

- Justin, rollover the entire balance of your Colonial First State Employer superannuation fund into the recommended wholesale platform invested in a “Growth” portfolio.
- All future contributions will be directed into the recommended fund.

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to an anti-detriment payment. This is where the contributions tax you pay on monies contributed may be refunded on the death of a member.
- You will have access to a wide range of investment options with access to more than one specialist manager within each asset class.
- The recommended fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- Your benefits will be invested within a range of assets and asset classes giving you a well-diversified investment portfolio that aims to generate higher levels of growth over the longer term 7+ years.
- You will gain ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.
- Lakeside Financial can arrange for your life insurance premiums to be deducted from your superannuation account, which is a more tax effective way of paying them.

Current Superannuation Structure

Justin, the current asset allocation of your Colonial First State Employer fund is as follows:

Asset Class	% of Portfolio
Australian Shares	33.63%
International Shares	29.21%
Property	12.94%
Fixed Interest	15.43%
Cash	7.18%
Other	1.61%
	100%

Current and Proposed Portfolio Historical Performance

Current Colonial First State Employer fund at 31/08/2015

	3 months	1 year	2 years
Colonial First State Employer fund	-3.67%	3.34%	7.56%

Proposed Colonial First State High Growth Portfolio at 31/08/2015

Colonial Fund				
	% of portfolio	3 months	1 year	2 years
BT Wholesale Core Australian Share	11.00%	9.00%	16.80%	10.21%
Fidelity Wholesale Australian Equities	11.00%	7.00%	16.34%	10.90%
Perennial Wholesale Value Australian Share	11.00%	8.61%	17.35%	9.36%
CFS Wholesale Small Companies - Core	10.00%	12.76%	15.06%	10.03%
BT Core Wholesale Global Share Fund	9.00%	22.78%	24.05%	14.26%
Platinum Wholesale International	8.00%	18.12%	22.36%	9.60%
MFS Wholesale Global Equity	8.00%	21.87%	24.06%	15.00%
BT Wholesale Property Investment	5.00%	17.11%	15.24%	12.53%
CFS WS Global Listed Infrastructure	6.00%	10.46%	15.98%	14.99%
CFS WS Global Property Securities	6.00%	14.61%	12.89%	14.55%
Firstchoice Wholesale Fixed Interest	13.00%	0.23%	4.44%	5.56%
CFS Wholesale Cash	2.00%	0.41%	2.02%	2.15%
	100.00%	-3.81%	6.27%	11.34%

Current Superannuation Portfolio Profile Compared to Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Growth	Deviation
Australian Shares	33.63%	43%	-9.37%
International Shares	29.21%	25%	+4.21%
Property	12.94%	17%	-4.06%
Fixed Interest	15.43%	13%	+2.43%
Cash	7.18%	2%	+5.12%
Other	1.61%	0%	+1.61%

Proposed Total Superannuation Portfolio Profile Compared to Benchmark

Asset Class	Projected Portfolio	Benchmark Profile for Growth	Deviation
Australian Shares	43%	43%	0%
International Shares	25%	25%	0%
Property	17%	17%	0%
Fixed Interest	13%	13%	0%
Cash	2%	2%	0%
Other	0%	0%	0%

As an industry standard, a variance of 10% within a particular asset class is allowed to cater for individual circumstances, economic events and fund manager asset allocation decisions. Variations outside of this range may be appropriate in certain circumstances.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds and the adviser's fee. Based on your current portfolio value, we have provided an estimation of the costs you will pay.

Justin

Colonial FirstState FirstChoice Investments	MER %	Amount invested ① \$	Estimated fee \$
BT Wholesale Core Australian Share	1.04%	\$10,541	\$110
Fidelity Wholesale Australian Equities	1.10%	\$10,541	\$116
Perennial Wholesale Value Australian Share	1.04%	\$10,541	\$110
BT Core Wholesale Global Share Fund (AQR)	1.14%	\$9,582	\$109
Platinum Wholesale International	1.36%	\$8,624	\$117
Perpetual Wholesale International Share Fund	1.87%	\$7,666	\$143
MFS Wholesale Global Equity	1.30%	\$7,666	\$100
BT Wholesale Property Investment	1.10%	\$4,791	\$53
CFS Wholesale Global Listed Infrastructure Securities	1.27%	\$5,749	\$73
CFS WS Colliers Global Property Securities	1.05%	\$5,749	\$60
FirstChoice Wholesale Fixed Interest	0.80%	\$12,457	\$100
CFS Wholesale Cash Fund	0.43%	\$1,916	\$8
Total ongoing fees ①	1.15%	\$95,824	\$1,099

- ① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your current portfolio to estimate your annual ongoing fee.

Please note that there is an additional adviser service fee of 0.60% that is paid by you.

Planning – Investment Recommendations

A comparison of the fee structure of the two funds is contained below:

Type of Fee or Cost	Colonial First State Employer Fund	Colonial First State Wholesale Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	\$60 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a
Investment Costs - Current – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.75% p.a	1.15% p.a
Annual average cost - Total \$95,824 investment	\$1,737 p.a.	\$1,677
Amount of Insurance Cover – Life, TPD and Income Protection held inside super	\$5,548 p.m. IP*	n/a
Cost of above insurance cover per annum.	\$65 p.a.	n/a

* 90 day wait with a 2 year benefit period. This is deemed surplus to your needs as you have in place a separate policy with AIA that covers you until age 65 after a 90 day waiting period.

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **A 0.60% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Your Finances

Justin and Shayna, you currently have a residential property in Chelsea Heights which is valued at approximately \$400,000 with an outstanding debt of approximately \$235,000 (which is currently being offset by your cash at bank).

Recommendation:

- Consider establishing a loan facility against your Chelsea Heights property of up to 80% of its value (est. **\$400,000**). We estimate this to be around **\$320,000**. After taking into consideration your existing outstanding debt, this will provide you with surplus funds of approximately **\$85,000** plus the **\$65,000** in your offset account (total surplus funds of **\$150,000**).
- This facility is to be utilised for investment purposes (e.g. investment property).
- Louise Syphers from Lakeside's Lending Division has conducted a thorough review of your current situation and determined that your current lending is structured with a competitive interest rate. As such, the fees and associated discharge costs involved in the refinancing of this debt may not be financially viable at this stage. This should be reconsidered closer to the time of sourcing an investment property.

Wealth Accumulation

You have stated that you would like to receive advice as to an investment portfolio that meets your goals of tax effectiveness, medium to long investment term, aimed at wealth accumulation, that does not adversely impact your cash flow.

Types of investments that may be considered utilising borrowed funds include:

- Direct property
- Direct Australian equities (shares)
- A portfolio of managed funds
- A mix of the above

Based on your Investor Risk Profiles and our subsequent discussions, it is our view that an Australian equity portfolio or a portfolio of managed funds fall outside your risk appetite due to the potential volatility of these asset classes. As such, borrowing to invest in a property over the medium to long term may be deemed the most suitable of these investment options. Such an investment may assist in achieving your goals as:

- The interest payable is tax deductible;
- The investment has an unfixed term therefore adding flexibility in realising capital gains;
- The investment has unlimited upside in relation to capital gain

Scenario 2:

- Sell your existing property and purchase your new home for approximately \$700,000.
- Assuming you sell the property for \$400,000 less your \$184,000 (after considering offset monies) outstanding debt will leave you with **\$216,000** to contribute towards your new property.

Debt associated to new property \$524,000 (non-deductible)

Therefore:

Purchase Price	= \$700,000
Government Costs	= <u>\$40,000</u>
Total Costs	= \$740,000
<i>Less proceeds from sale</i>	<u>= \$216,000</u>
Total Non-Deductible Debt	= \$524,000

Cost

1. \$524,000 @ 4.50% = **\$23,580 net cost per annum**

Scenario 3:

- Sell existing property, purchase a new residential property for \$700,000 and purchase an investment property for \$400,000.
- Sale of existing property and purchase of new \$700,000 residential property will result in a debt of **\$524,000** and associated interest cost of **\$23,580** as per Scenario 2 above.
- Costs associated to the investment property purchase will be as follows:

Purchase Price	= \$400,000
Government Costs	= <u>\$ 17,000</u>
Total Costs	= \$417,000

In summary under this scenario:

Debt on residential property \$524,000 (non-deductible)

Debt on new investment property \$417,000 (deductible)

Cost

1. \$524,000 @ 4.50% = \$23,580 = \$23,580
2. \$417,000 @ 4.50% = \$18,765 = \$11,447 (after deduction)

Net Cost pa \$35,027

The overall position under each scenario is summarised in the table below:

Scenario	Residential Property		Investment Property		Total		Net Cost p.a.
	Value	Debt	Value	Debt	Value	Debt	
1	\$700,000	\$675,000	\$400,000	\$249,000	\$1,100,000	\$924,000	\$37,209
2	\$700,000	\$524,000	N/A	N/A	\$700,000	\$524,000	\$23,580
3	\$700,000	\$524,000	\$400,000	\$417,000	\$1,100,000	\$941,000	\$35,027

Impact on Cash Flow

We have provided cash flow calculations and projections based on your current situation and Scenario 2 above. These are contained in the Appendix at the rear of this Statement of Advice.

These scenarios also take into consideration Shayna's reduced income.

Based on your current expenditure, it may be worthwhile considering wealth accumulation strategies that have a smaller impact on your cash flow. One such strategy is detailed in the 'Future Strategies' section.

Retirement Planning

Justin and Shayna, we have based our retirement capital projections based on an industry general rule of thumb that you may require approximately 75% of your combined net salary (approximately \$100,000) in retirement – that being **\$50,000** p.a. each. To assist with retirement planning, we have calculated projected superannuation balances at age 67:

Retirement capital estimates at age 67

	Initial retirement capital required	Projected balance based on current situation	Surplus / Shortfall
Shayna	\$857,000	\$600,000*	(\$257,000)
Justin	\$857,000	\$660,000	(\$197,000)
TOTAL	\$1,714,000	\$1,260,000	(\$454,000)

* Based on a Final Average Salary of \$80,000 and an Accrued Benefit Multiple of 7.5

Notes:

The projected balance based on current situation assumes Shayna makes superannuation contributions of 8.3% of gross income on an annual basis.

The estimated shortfalls do not include the value or any growth on your non-superannuation assets.

Future Strategy - Borrowing in a Self-Managed Superannuation Fund (SMSF)

Background

From 24 September 2007 the general prohibition on superannuation funds borrowing was relaxed to allow super funds, including SMSFs, to borrow, to purchase any asset they would otherwise be permitted to acquire (subject to certain strict instalment warrant-like conditions).

How do these rules work?

These rules allow a super fund trustee to borrow money or to maintain a borrowing of money, under an arrangement where:

- the borrowing is applied for the acquisition of an asset other than one the super fund trustee would be prohibited from acquiring
- the asset is held on trust for the super fund so that the trustee acquires the beneficial interest in the asset (ie a trust is established over the asset)
- the super fund trustee has the right to acquire legal ownership of the asset after making one or more payments, and
- the rights of the lender against the super fund trustee in relation to the borrowing (and any related charges) are limited to the rights relating to the asset

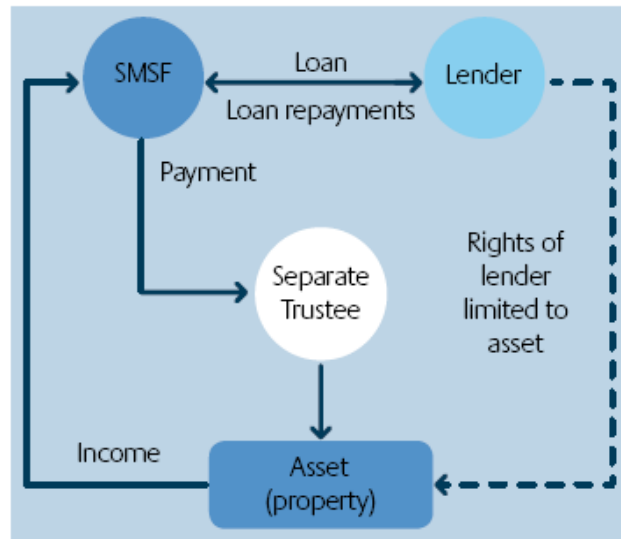
Who can make a loan to a Fund; can it be a member or a bank?

There are no restrictions on who can make a loan to a Fund. Therefore a member, a bank or any other entity could make a loan to a Fund provided the loan complies with the Superannuation Industry Supervision Act (SISA) borrowing Requirements.

Trust arrangements

A requirement of the borrowing exemption is that the asset must be held on trust for the SMSF so that the SMSF acquires the beneficial interest in the asset. That is, the SMSF will not be permitted to directly hold the legal ownership of the asset until it has paid off the loan.

A trust relationship must be established to satisfy the borrowing rules. This could be achieved by the SMSF entering into a trust relationship with another entity, such as a member of the fund, to separate the legal and beneficial ownership of an asset. In this case, the entity holding the legal ownership of the asset would be the trustee, while the SMSF would be the beneficiary and hold the beneficial ownership of the asset. As the beneficial owner of the asset, the SMSF would be entitled to all the income from the asset and is able to instruct the separate trustee to transfer the ownership of the asset to the SMSF on repayment of the loan.



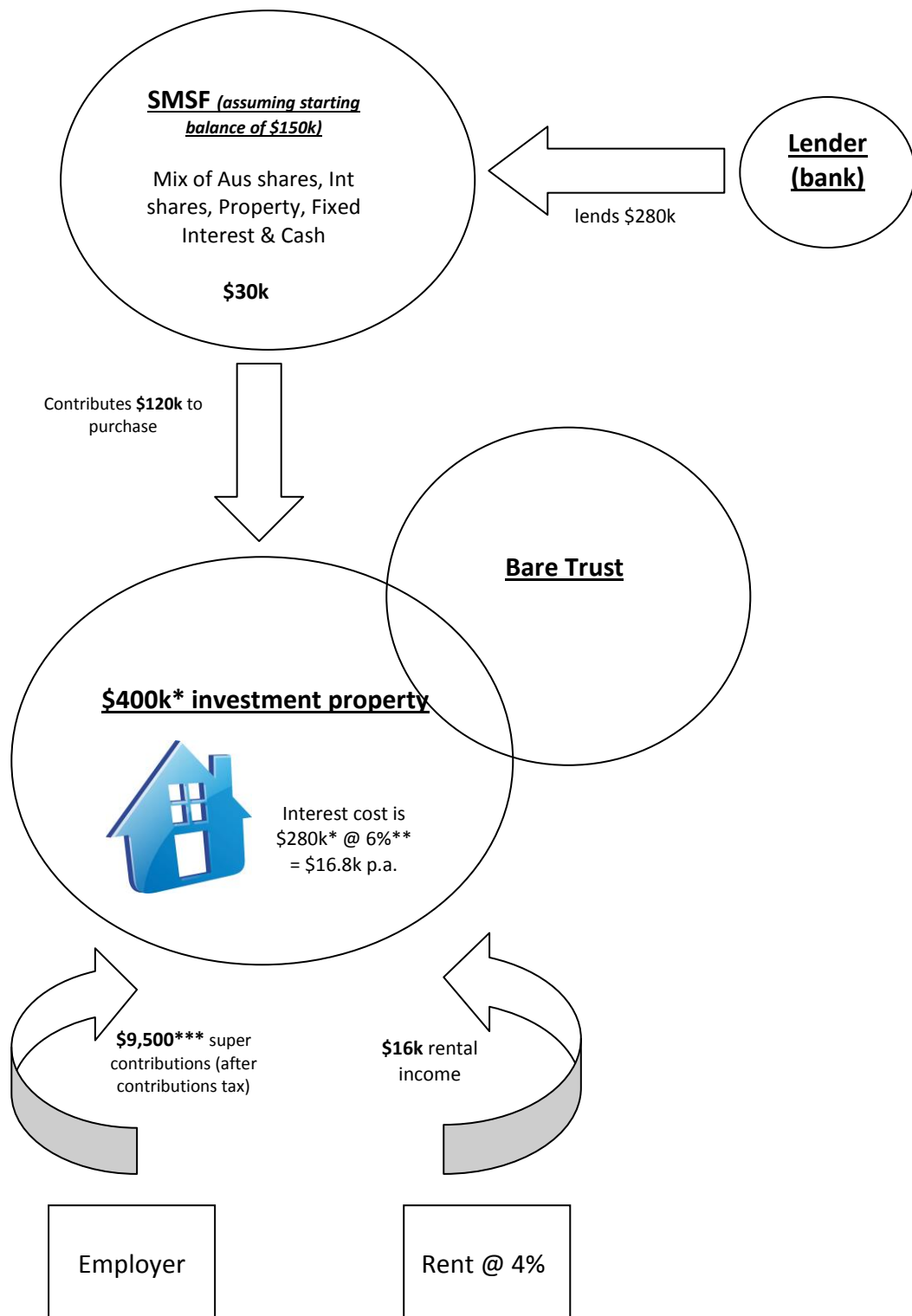
Loan requirements and practical issues

In order for the borrowing to be allowable the loan must be on a limited recourse basis only. That is, the rights of the lender against the SMSF trustee for any default on the borrowing (and any additional charges) must be limited to the rights relating to the asset that was purchased with the borrowing. These rights may include taking possession and disposing of the asset. For example, if a SMSF borrowed money to purchase an asset, such as a commercial property, the rights of the lender against the SMSF must be limited to the rights relating to that particular asset (or any replacement asset). If the SMSF then defaulted, the lender's recourse would only be against that asset. If there was any shortfall on the sale of the property that loss would be borne by the lender.

From a practical perspective the requirement for a limited recourse loan will effectively limit the amount a SMSF trustee can borrow. That is, some lenders may only be willing to lend up to a certain Loan to Value Ratio (LVR) on certain asset classes, such as property. For example, a bank lender may only be willing to lend on direct property and only up to a maximum 60% LVR.

The interest rate for a limited recourse loan may also be higher to reflect the higher risk to the lender. This may also limit a SMSF's ability to borrow in many circumstances. For example, a lender may be willing to go up to an 80% LVR on an asset but the interest rate may be so high as to make the loan so expensive, which results in losses to the SMSF.

How borrowing may work in a SMSF – Potential Strategy



* A purchase of \$400k has been used purely for illustrative purposes. This has been documented as a potential strategy as you have stated that you would like to explore property as an asset class and learn more about the tax effective ownership structures.

** The interest rate used is the current variable rate available plus a 0.5% buffer.

*** Based on current employer contributions.

Benefits of borrowing within super to increase investment exposure:

If we use the example on the previous page, the potential benefits may be demonstrated as follows:

Future Capital Gains Tax (CGT) implications upon sale of the property

Ownership	Purchase Price	Sale Price	Capital Gain	Tax applicable on assessable gain	Tax Payable
Pty Ltd Company	\$400,000	\$800,000	\$400,000	100%	\$150,000
Own Name	\$400,000	\$800,000	\$400,000	50%	\$93,000*
Trust	\$400,000	\$800,000	\$400,000	50%	\$93,000*
SMSF – Accumulation Phase	\$400,000	\$800,000	\$400,000	2/3 ^{rds} of 15%	\$40,000
SMSF – Pension Phase	\$400,000	\$800,000	\$400,000	0%	\$0

* Assumes top marginal tax rate.

Increase in future balance of the SMSF

	Super balance at start of period	Debt	Super balance at end of period
No borrowings	\$150,000	Nil	\$300,000
SMSF borrows \$280k	\$430,000	\$280,000	\$580,000

Notes:

- Example does not take into consideration any future superannuation contributions.
- Assumption of funds doubling over the period has been used.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$1,800 (plus GST), which will be deducted from your superannuation fund.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Super	\$95,824	Flat Fee	\$1,980	Flat Fee	\$1,800	0.60	\$575pa
Total	\$95,824		\$1,980		\$1,800		\$575pa

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Summary

Your Statement of Advice

In preparing this Statement of Advice we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Retain a copy for your records

Authority to Proceed

I, Justin Sanders, of
13 First Avenue
CHELSEA HEIGHTS VIC 3196

State that:

I have read and understood the Financial Plan presented to me by **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

Investment	Amount
Colonial FirstChoice Wholesale Super	\$95,824

All fees and charges have been explained to me.

I authorise **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

- ☐ Facsimile
- ☐ Email
- ☐ Writing

I acknowledge that:

- I have received and read a Financial Services Guide.
 - I have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
 - My adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.
- ☐ I accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

Signed: _____
Justin Sanders

_____/_____/_____
Date

Signed: _____
Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)

_____/_____/_____
Date

Appendix – Cash Flow Projections
